

19. **No interest on money lost that never came to hand.** — It will be observed that, in the preceding cases, trustees and executors have been decreed to pay interest in respect only of monies actually come to hand, and improperly retained; for when a fund has *never been received*, but has been inexcusably left outstanding and lost, it seems the Court contents itself with holding the trustees liable for the *principal*, without enforcing against them the equity, that as the fund, if got in, would have become productive, the trustees ought further to be charged with interest (*b*).

20. **Mistake.** — Where an executor, under a mistaken impression of the law, but acting *bonâ fide*, retained one-third of the residue himself, and paid two-thirds to his co-executors, he was held accountable to the person entitled for the whole, but with interest only upon the one-third retained by himself (*c*).

SECTION VI.

OF THE DISTRIBUTION OF THE TRUST FUND.

1. **Mistake as to rights is at the expense of the trustee.** — It is incumbent upon the trustee to satisfy himself beyond doubt, before he parts with the possession of the property, *who* are the parties legally and equitably entitled to it. He must therefore attend to all claims of which he has notice; and he may compel all persons who claim to be *cestuis que trust* to set forth their title (*d*).

2. **Quasi trustees.** — The necessity of seeing that the trust-money reaches the proper hand is obligatory, not only on trustees regularly invested with the character, but on all persons having notice of the equities, as if A. lend a sum to B., and B. afterwards discovers that it is *trust money*, he cannot

and see *Moyle v. Moyle*, 2 R. & M. 710; *Johnson v. Newton*, 11 Hare, 160; *Hughes v. Empson*, 28 Beav. 181; *Johnson v. Prendergast*, 22 Beav. 480.

(*b*) *Tebbs v. Carpenter*, 1 Mad. 290; and see *Lowson v. Copeland*, 2 B. C. C. 156.

(*c*) *Saltmarsh v. Barrett* (No. 2), 31 Beav. 349; but see *Attorney-General v. Köhler*, 8 Jur. N. S. 467; 9 H. L. C. 655; *Shaw v. Turbett*, 14 Ir. Ch. Rep. 470.

(*d*) *Hurst v. Hurst*, 9 L. R. Ch. App. 762; and see *post*, 349, note (*f*).